

Chairman's Speech at 45th AGM

Dear Shareholders,

On behalf of the Board of Directors of the Company, it is my pleasure to extend a warm welcome to all of you on the occasion of 45th annual general meeting of your Company.

The Annual Report for the year ended 31st March, 2012 along with the Directors' Report and audited Annual Accounts of the Company have been circulated to you and I request your kind permission to take them as read.

Economic Scenario

India is one of the major forces in the world economy today. In the backdrop of the current macroeconomic environment, we expect the GDP growth to improve. India's economic growth is expected to show improvement in 2012 and 2013. Industrial production is expected to show improvement on account of improvement in domestic demand and increased thrust of Government on infrastructure, power sector and other measures.

In the current economic scenario, the risks to growth are many and varied. Any unfavorable development in Euro-zone could impede the global economic revival. These concerns could lead to escalation of financial stress, decline in metals prices and volatility in the currency markets. Given India's growing integration with the global economy, turbulence in global financial conditions could adversely impact the economy's growth momentum through financial and trade channels.

Industry

Copper is the second largest non-ferrous metal by usage with global demand growing steadily at 2% per annum. The domestic environment is conducive for growth of refined copper consumption and is expected to increase in line with GDP growth of the Country. The key growth drivers are the continuing demand from power and construction sectors. We expect that refined copper consumption in the country will grow at the rate of 8-9% in coming years.

I would now like to briefly present the key features of your Company's performance during 2011-12.

Performance

Financial

I am glad to inform that during FY 2011-12 your Company posted the highest ever Profit before tax (PBT) of Rs 473 crore since inception of the Company. Similarly, the Profit after tax (PAT) of Rs.323 crore recorded by the Company during the year was the highest since inception as against a PAT of Rs 224 crore in the previous year 2010-11, registering a jump of 44% in the bottom line of the Company. As on 31st March 2012 the Net Worth of the Company stood at Rs 1397.64 crore and cash reserve Rs 576.30 crore. The sales volume (tonnage) achieved during 2011-12 was 31,513 tones as against 26,854 tones in the previous year, registering 17% growth and the improvement was due to the fact that the Company could liquidate a sizable amount of the Metal in concentrate stock lying at the close of the FY 2010-11. The sales turnover achieved during the year was Rs 1638 crore as against Rs 1281 crore in the previous year recording a jump of 28% in the top line of the Company.

I am happy to share with you that your Company is a debt free Company and this strength will be of immense help in raising funds for capital requirement in case there are shortfalls, if any.

Dividend

The Board of directors of your Company has recommended payment of dividend of 20% i.e. Re 1/- on face value Rs 5/- per share for the year 2011-12, subject to your approval in the annual general meeting. The financial out go on account of dividend is Rs. 92.52 crore and on account of tax on dividend is Rs 15.01crore, aggregating to a total out go of Rs. 107.53 crore.

Production

During the year 2011-12, the Company produced 34.79 lakh tones ore, 31,377 tones Metal in Concentrate (MIC), 28,358 tones Cathode and 26,310 tones Wirerod. Ore production during the year was the 2nd highest in last 13 years. MIC production was marginally less compared to previous year's production and shortfall was due to low grade of mined ore and low process recovery of Concentrator Plant at Khetri Copper Complex. Overall cathode production during the year was 118% of the production in the previous year. Wirerod production posted a jump of 14.43% over last year production.

Business Initiatives

The Company continues to maintain the focus on mining activities which is its key thrust area. In order to achieve this objective, the Company will vigorously pursue the capacity enhancement of its mines and will develop new copper deposits in the country and other geographies. As informed in the last annual general meeting, your Company has rolled out mine expansion plan to increase mine production to 12.4 Million tonne by FY 2017-18. The scheme envisages expansion of Malanjkhand, Khetri, Koliha and Surda mines, Banwas as an extension of Khetri Mine; re-opening of Rakha and Kendadih mines and development of new mine namely Chapri-Sidheswar. The details are given in the Annual report already circulated to the Shareholders. The mining projects of the Company are on course and out of total 8 projects, successful bidders for six have already been chosen.

Green Field Exploration

With a view to consolidate its position as the only copper mining company in the country, your Company has applied for prospecting (PL), mining (ML) and Reconnaissance Permit (RP) in the State of Rajasthan, Jharkhand, MP and Haryana.

We are also vigorously pursuing the renewal of mining leases wherever they are due for renewal.

Disinvestment

The Cabinet Committee on Economic Affairs has approved disinvestment of 9.59 % equity in Hindustan Copper Limited out of the Government of India's holding of 99.59 percent, through an Offer for Sale of Shares through Stock Exchanges as per SEBI Rules and Regulations. After disinvestment, the Government shareholding in the Company will come down to 90% and the Company shall meet the requirement of minimum public shareholding of 10% in listed CPSEs as per listing norms. At present, the paid up equity capital of the Company is Rs. 462.61 crore and the Government of India holds 99.59 percent of the paid up equity capital.

Corporate Governance

Good corporate governance has always been the hallmark of your Company. The philosophy of the Company is to ensure transparency in its dealings and compliance of country's laws and regulations in order to promote ethical conduct of business. Quarterly compliance report for corporate governance is sent to the administrative Ministry as well as stock exchange authorities as

per the applicable guidelines. There is vacancy of two independent directors on the Board since 7th January.2011 compared to the composition under the requirement of the listing agreement and the matter is under consideration of the Government. Your Company actively supports the “green initiatives” taken by the Ministry of corporate Affairs (MCA) and effected electronic delivery of Annual report 2011-12 containing the AGM notice to those shareholders whose e-mail addresses were registered with the Registrar and Transfer Agent (RTA) of your Company / Depository Participant, and who have not opted for receiving the Annual Report in physical form. I look forward to receiving your full support in our endeavour to contribute towards greener environment.

A separate section on corporate governance furnishing applicable details forms part of the Directors’ Report.

Responsibility towards Society

Your Company has taken up several projects for Sustainable Development and Corporate Social Responsibility (CSR) through activities like livelihood promotion schemes, specialized health camps, sanitation, drinking water, construction of roads, horticulture and advanced agricultural training for the identified villages around its project sites. The CSR plan of your Company was prepared on the basis of Need Assessment Survey carried out by the National Institute of Rural Development, an autonomous body under the Ministry of Rural Development, Government of India. An Amount of Rs.1.62 Crore was spent on CSR activities during 2011-12 as compared with expenditure of Rs.1.22 Crore during 2010-11.

Auditors’ comments

The Statutory Auditors’ Report has already been circulated to all the shareholders. I am glad to inform you that the C&AG after having reviewed your Company’s accounts for the year ending 31st March, 2012 have given a ‘Nil’ report.

Acknowledgement

In conclusion, on behalf of the Board of Directors of your Company, I thank all our esteemed shareholders for their continued support, whose trust and confidence are pillars of strength in our entire endeavour.

I take this opportunity to thank the Ministry of Mines for their unstinted support. I also acknowledge the support extended by the State Governments and all other authorities and regulatory agencies.

I would like to thank my colleagues on the Board for their valuable guidance and contribution in steering the Company to higher levels of achievements.

I thank all the employees of HCL for their sustained endeavours in meeting the challenges posed before the Company. I also thank the trade unions for their constructive cooperation and on behalf of the Board, I seek continued support, as always.

I thank all of you once again and offer my best wishes for a very joyous festive season ahead.

Kolkata
27th September, 2012

K D Diwan
Chairman-cum-Managing Director

(This does not purport to be a record of the proceedings of the Annual General Meeting)